

Wall Street needed the SEC just as baseball after 1919 needed Commissioner Landis. But people who are interested in baseball are more realistic than people interested in Wall Street. No fan expected that Judge Landis would do more for the game than keep it reasonably honest. They did not expect him to improve the quality of the fielding and hitting. Nevertheless, a considerable part of the public seems to be hoping that the SEC will make speculation safer.

These credulous individuals are reminiscent of the timid soul who said at the beginning of the poker game, "Now boys, if we all play carefully we can all win a little."

WHAT TO DO WITH MONEY

... Someone has just had the effrontery to ask me what an investor should do with his excess money.

Obviously I haven't the dizziest idea. But I once had such a plan outlined to me and I never forgot it, because it had a certain originality.

I was discussing the broad history of bonds (a depressing subject) with a man I considered a sensible fellow. He had spent the last twenty-five years trading bonds with other people's money. His own money he had always carefully spent.

I finally said: "What a hopeless game! Tell me, Mac, what would you do if you had, today, two hundred and fifty thousand dollars of your own?"

He answered with such promptness that I could see he had given a good deal of thought to this improbability.

"I would put it into twenty-five envelopes, in cash, of ten thousand dollars each. At the beginning of each year I would take out an envelope and I would risk not living more than twenty-five years longer. That would give me two hundred dollars a week. But, since a man has got to be doing something and I like gambling, I would live on a hundred a week and with the other hundred I would play the horse races.